

dustrial stocks yielding a record low $2\frac{1}{2}\%$, and illiquid real estate that had risen thousands of percent in just two decades? Did numerous companies actually pass resolutions *forcing* executives to take huge positions in company stock? Did people really pour their savings into junk, municipal and zero-coupon bonds even though the economic recovery of 1991-1995 was one of the weakest ever? Did most professionals really counsel the public that stocks and bonds were a *necessity* in a portfolio and that long term they always went up? And you will say, "Yes."

These closing comments from *Elliott Wave Principle* in 1978 now bear upon the next ten years: "When the fifth wave of the fifth wave tops out, we need not ask why it has done so. Reality, again, will be forced upon us...and the laws of nature will have to be patiently relearned." To which should be added, "at least for a time."

You may take or leave my message, but at least you know one thing: it is unequivocal and, to the extent possible, unhedged. I know what I think, and I know why I think it. As for how things will turn out, we will take another look in a decade or so and see what has happened. The simultaneous dangers and opportunities presented if this outlook plays out will be the kind upon which many fortunes are lost, and a few are built. I wish you success.

*If you can keep your head when all about you
are losing theirs...*

Yours is the Earth and everything that's in it.

— Rudyard Kipling